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Affordable Housing Deliveries Are Shrinking. That Gap Is the Story.

Yardi Matrix shows deliveries declining from their peak, yet still running above pre-2020 levels. The real signal is about pipeline sustainability, not demand weakness.

Affordable housing deliveries are shrinking, but remain above pre-2020 averages.

According to Yardi Matrix, the number of affordable units delivered in recent quarters has declined from its 2023-2024 peak. However, the current pace still exceeds the 2017-2019 baseline. The headline is moderation, not collapse.

SIGNIFICANCE

**This is about pipeline health,
not demand weakness.**

A useful way to think about this is: deliveries are normalizing after a construction boom. The risk isn't that demand has disappeared. The risk is that the development pipeline may not sustain enough supply to meet long-term demographic needs.

Construction financing is tightening, and that shows up in deliveries 18-24 months later.

The simple version is: debt for new affordable development has become more expensive and harder to secure. Tax-exempt bond volume has moderated. LIHTC equity is still available, but terms are more selective. The delivery decline reflects capital constraints, not a lack of need.

THE REAL QUESTION

Can the development community maintain supply without a deeper subsidy stack?

Developers are solving a harder equation now: higher construction costs, higher interest rates, and tighter state and local housing credits. The business challenge is whether projects pencil without deeper public subsidy or more creative capital stacking.

WHO CARES?

Three groups are watching this closely.

- * Sponsors: Need to plan for longer lease-up periods and thinner margins.
- * Lenders: Evaluating construction loan exposure and refinance risk.
- * Policymakers: Concerned about whether supply targets are achievable without additional federal or state support.

MARKET CONTEXT

This is part of a broader multifamily supply normalization.

Market-rate multifamily deliveries are also declining from their 2024 peak. Affordable housing is following the same pattern, but with a tighter margin for error. The gap between what's needed and what's being built is the structural story that matters most.

Watch starts, subsidy availability, and state-level policy changes.

What we're watching: construction starts for affordable projects (leading indicator), QAP changes in key states, and the pace of LIHTC equity deployment. If starts continue to decline, the delivery gap will widen further by 2028.

THE LESSON

Affordable housing supply is a capital markets story, not just a policy one.

The gap between demand and delivery is real. Understanding how capital flows through the subsidy stack, construction debt, and equity markets is essential to navigating this cycle. Light Tower Group helps sponsors and lenders align capital strategy with market reality. Connect with Benjamin Rohr for perspective.